

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 881

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO INSURANCE; AMENDING SECTION 41-1830, IDAHO CODE, TO REVISE PROVISIONS REGARDING NOTICE OF LAPSE OR TERMINATION OF INDIVIDUAL LIFE INSURANCE; AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 41-1830, Idaho Code, be, and the same is hereby amended to read as follows:

41-1830. NOTICE OF LAPSE OR TERMINATION OF INDIVIDUAL LIFE INSURANCE. (1) Notwithstanding the provisions of section 41-1927, Idaho Code, an individual life insurance policy shall not be issued or delivered in this state until the applicant has been afforded the option of designating one (1) person, in addition to the applicant, to receive notice of lapse or termination of a policy for nonpayment of premium.

(2) A designation made pursuant to subsection (1) of this section shall be on the application or a form provided by the insurer. The applicant shall, on such application or form, provide the full name, and address and telephone number of the person designated to receive notice of lapse or termination of the policy for nonpayment of premium.

(3) The insurer shall annually notify a policy owner of the right to:

(a) Make a designation pursuant to subsection (1) of this section;

(b) Change the designee; and

(c) Update the contact information of the designee; and

(d) Make a request for notice by certified mail or commercial delivery service at a potential cost to the policy owner not to exceed forty dollars (\$40.00) pursuant to subsection (6) of this section.

(4) The policy owner may, at the policy owner's discretion, change the designee or change the contact information of the designee more often than annually, and the insurer shall make available the form for such changes at the policy owner's request.

(5) No individual life insurance policy shall lapse or be terminated for nonpayment of premium unless the insurer, at least ~~fourteen (14)~~ sixty (60) days prior to the effective date of the lapse or termination, sends notice by first-class United States mail to the policy owner and to the policy owner's designee, if a designation has been made pursuant to this section, of the lapse or termination, at the address or addresses provided by the policy owner for purposes of receiving such notice.

(6) In addition to the notice required pursuant to subsection (5) of this section, the policy owner of an individual life insurance policy issued with a face amount in excess of one hundred thousand dollars (\$100,000) may request that a lapse or termination notice be sent by United States postal service certified mail, return receipt requested, or by a commercial deliv-

1 ery service that provides written or electronic proof of signature required
 2 delivery. If such a request is made:

3 (a) The request must be made to the insurer in writing at least ninety
 4 (90) days prior to a lapse or termination;

5 (b) The insurer shall acknowledge the request in writing to the policy
 6 owner, and such acknowledgement shall serve as verification that the
 7 request was received;

8 (c) The notice of lapse or termination shall be sent at least sixty (60)
 9 days prior to the effective date of the lapse or termination to the pol-
 10 icy owner and, if a designation has been made pursuant to this section,
 11 to the policy owner's designee at the address or addresses provided by
 12 the policy owner for purposes of receiving such notice;

13 (d) The insurer may charge the policy owner the actual postage and de-
 14 livery confirmation cost charged by the carrier for sending the notice
 15 by certified mail or commercial delivery service, not to exceed forty
 16 dollars (\$40.00), and such amount may be added to the policy owner's
 17 next premium payment;

18 (e) If the notice sent pursuant to this subsection is undeliverable or
 19 refused, the insurer shall have no further obligation under this sub-
 20 section; and

21 (f) In lieu of certified mail or commercial delivery service, an in-
 22 surer may demonstrate proof of delivery for a lapse or termination
 23 notice the insurer sends pursuant to this subsection by other methods
 24 establishing delivery such as an electronic delivery read receipt,
 25 provided that the policy owner making a request for notice by certified
 26 mail or commercial delivery service is notified by the insurer at the
 27 time of the request that an alternative method establishing delivery
 28 will be used.

29 ~~(6)~~ (7) The provisions of this section shall apply prospectively to any
 30 individual life insurance policy issued or in force on or after January 1,
 31 2018 2027. Provided however, that the provisions of this section do not ap-
 32 ply to any life insurance policy under which premiums are payable monthly or
 33 more frequently.

34 SECTION 2. This act shall be in full force and effect on and after Jan-
 35 uary 1, 2027.